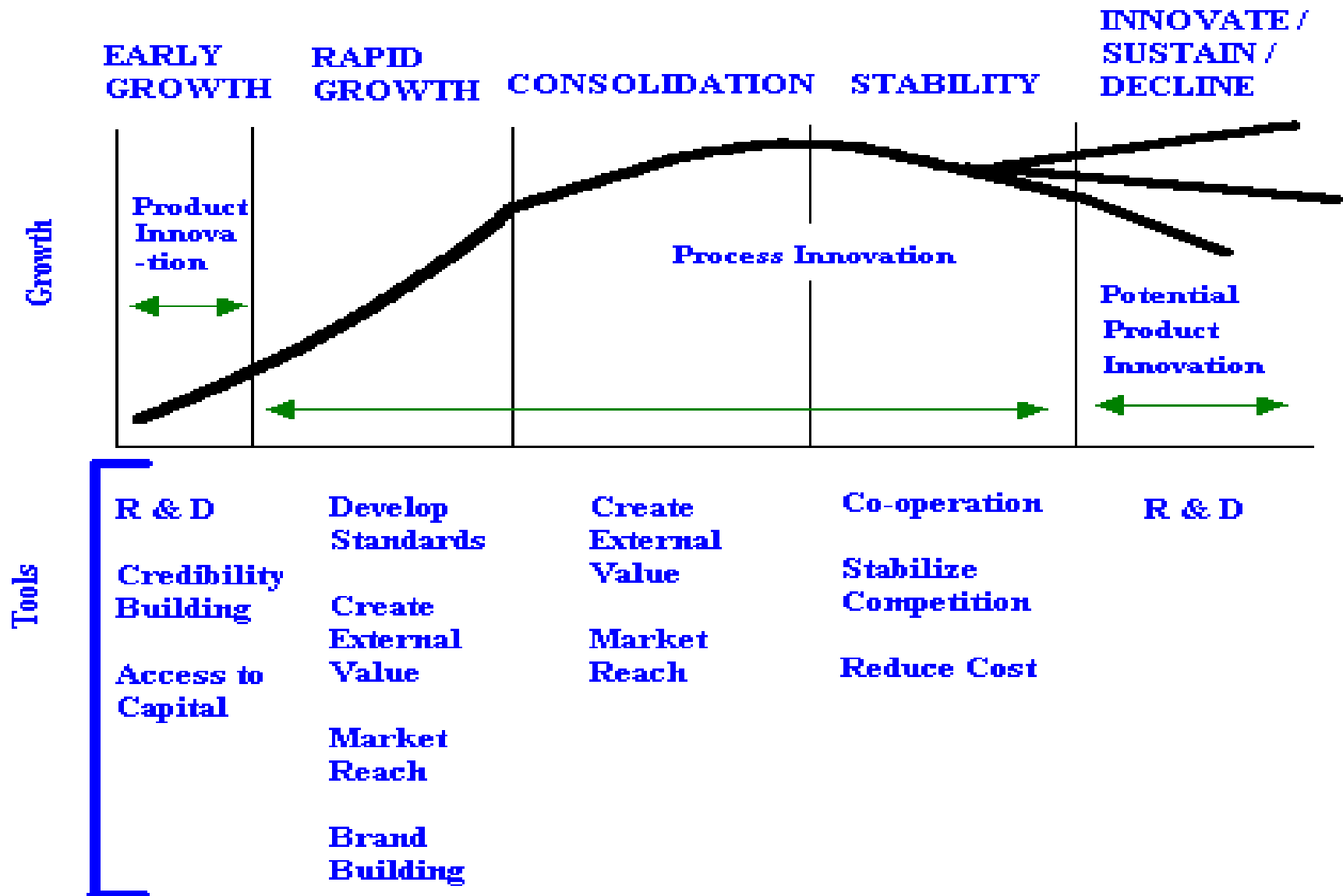


Industry Analysis

Industry Definition

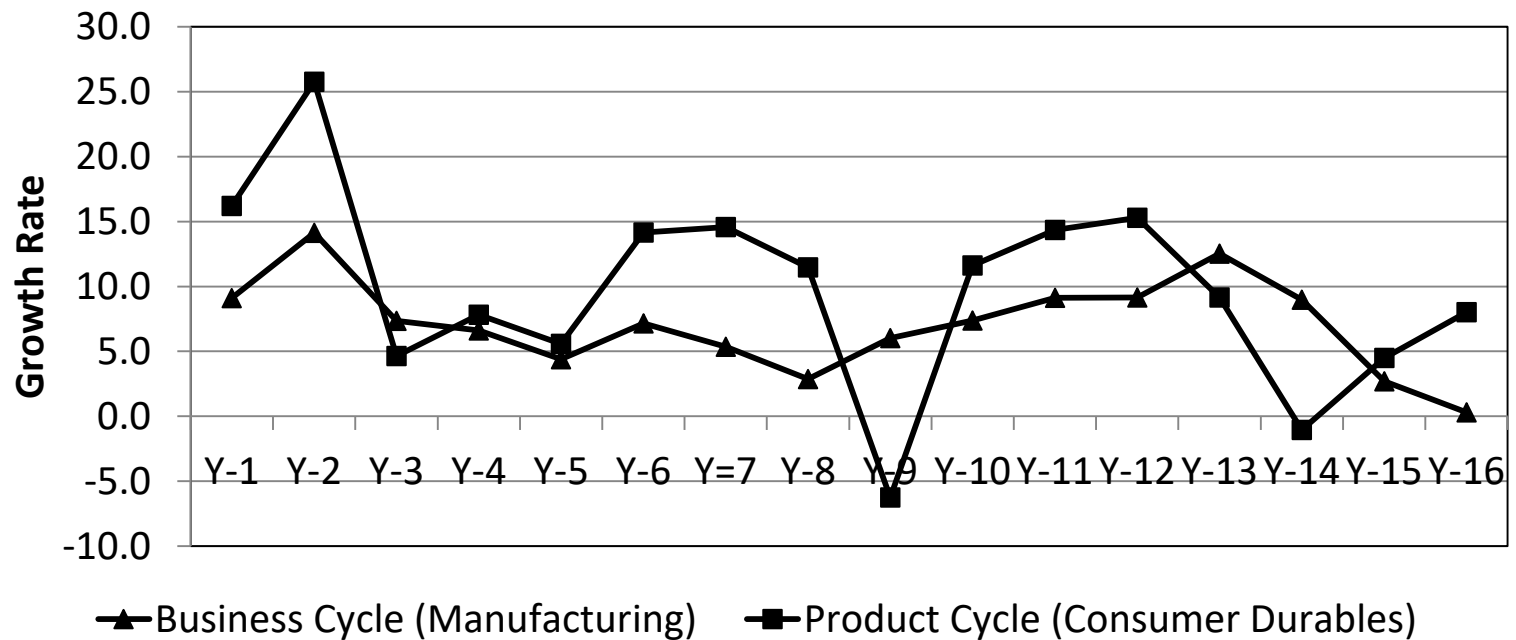
- **Economic sector** - manufacturing, distribution (wholesale or retail), services, etc.
- **Products or services** - a list of what is offered by the industry
- **Geographic scope** - local, regional, national, or international (This is for the overall industry and is determined by the markets in which products or services are offered by most competitors, not by the size or scope of individual companies.)

BUSINESS LIFE CYCLE / PRODUCT LIFE CYCLE OVERLAP



Growth Cycle

Business / Product Cycle Overlap



Prediction of Market Industry Life Cycle Stage

	Introduction	Growth	Maturity	Decline
Buyers and buyer behaviour	High income group purchases. Buyer inertia. Buyers must be convinced to try the product.	Widening buyer group. Consumer accepts uneven quality.	Mass market. Saturation in demand. Repeat buying. Choice among brands.	Customers are sophisticated buyers of the product.
Products and product change	Poor quality. Product design and development stage. Different product variations. No standards. Frequent design changes.	Products have technical and performance differentiation. Reliability and guarantee for products. Competitive product improvement.	Superior quality. Less product differentiation due to standardization. Less rapid product changes - more minor annual model changes. Trade channels become significant.	Little product differentiation. Doubtful product acceptance.

Prediction of Market Industry Life Cycle Stage

	Introduction	Growth	Maturity	Decline
Marketing	High advertising / sales. Creaming price strategy.	High advertising, but lower percent of sales than introductory phase. Distribution costs high for products.	Market segmentation. Efforts to extend life cycle. Broad product line. Service and deals prominent. Packaging important. Advertising costs lower.	Low advertising and marketing costs.
Manufacturing and Distribution	Unutilized production capacity, Short production runs. High skilled labour content. High production costs. Specialized channels.	Full production capacity. Shift towards mass production. Focus on distribution. Mass channels.	Optimum capacity. Stability of manufacturing process. Lower labour skills. Lower production runs. High physical distribution costs. Mass channels.	Substantial over-capacity. Mass production. Specialty channels.
R&D	Changing production techniques. High R& D Cost.	Moderate R& D Cost.	Low R& D Cost.	Nil R& D Cost.
Foreign Trade	Few exports.	Significant exports. Few imports.	Falling exports. Significant imports.	No exports. Significant imports.

Prediction of Market Industry Life Cycle Stage

	Introduction	Growth	Maturity	Decline
Business strategy	Low market share. Holding large asset value.	Change in price or quality image. Rapid asset acquisition.	Competitive pricing & cost reduction is the focus. No change in price, image or quality. No change in asset holding.	Cost control prominent. Sale or disposal of assets.
Competition	Fewer companies.	Many competitors.	Price competition. Cyclicality in sales.	Fewer competitions.
Risk	High risk.	High Risk.	Moderate Risk.	High Risk.
Margins and Profits	High prices and margins. Low profits.	High profits, highest margins, high prices but lower than introductory phase. High P/Es.	Falling prices, lower profits, lower margins, lower dealer margins. Stability of P/Es.	Low profits and margins, falling prices.

Life Cycle Analysis: Variables

Variables	Measure	Start up	Growth	Maturity	Decline
Buyers behaviour	Sales growth	Low	High	Moderate	Low
Production Return	Material cost / total cost	Low	Moderate	High	Negligible
	Operating margin	Low	Moderate	High	Negligible
Marketing	Advertisement cost/Sales value	High	Moderate	Low	Low sales
Operating cost	Labor cost/sales	High	Moderate	Low	Low sales
	Distribution cost growth	High	Moderate	Low	Low
R & D	R&D Cost/total cost	High	Moderate	Low	Low
Foreign Trade	Foreign sales/total sales	Low	High	Moderate	Low
	Imports/total costs	Low	Low	High	Moderate
	Cash flows / Operating profit	Low	High	Moderate	Low
Business strategy	Manufacturing cost/total cost	High	High	Moderate	Low
	Total assets growth rate	High	Moderate	Moderate	Low
Competition	HHI index (sales)	Low	High	Moderate	Low
Risk	Coefficient of variation of sales (3 years)	High	High	Moderate	High
Margins & Profit	Net profit/sales	Low	High	Moderate	Low
	Growth in profits	Low	High	Moderate	Low

Life Cycle Analysis: Cyber Security

	Sales growth	Operating margin	Advertisement /sales	Manufacturing cost %	R& D cost	Cash flows/op	Asset growth rate	HHI	Cov sales	Growth in profits
L&T Technology	6.76%	18.68%	12%	14%	0.37%	104%	11.20%	0.11	7.73%	-0.96%
Tata Technolog.	3.73%	17.32%	5%	13%	0.53%	94%	26.03%	0.03	4.02%	-10.24%
Inventurus Knowl	32.55%	30.49%	11%	5%	0.39%	65%	11.90%	0.01	27.12%	39.69%
Netweb Technol.	73.68%	13.73%	4%	0%	0.48%	50%	91.95%	0.00	55.53%	64.64%
Affle 3i	21.24%	21.12%	27%	41%	3.59%	95%	16.22%	0.01	19.05%	23.77%
Sagility	23.01%	23.63%	8%	6%	1.32%	99%	8.74%	0.05	21.26%	101.42%
Amagi Media Labs	30.89%	-12.04%	49%	1%	0.00%	3%	34.12%	0.00	26.55%	-276.18%
TechD Cybersec.	86.19%	36.62%	17%	16%	40.00%	21%	207.32%	0.00	57.56%	116.02%
Cyber security	34.76%	18.70%	16.57%	11.83%	5.83%	66.29%	50.94%	20.47%	27.35%	7.27%
IT	25.45%	20.45%	10.45%	10.35%	3.73%	78.84%	32.76%		20.51%	15.76%
Stage	High	Low	High	Moderate	High	Low	High	Low	High	Low

Life Cycle Analysis: Cyber Security

Variables	Stage	Introduction	Growth	Maturity	Decline
Buyers behaviour	Sales growth	Low	High	Moderate	Low
Production Return	Operating margin	Low	Moderate	High	Negligible
Marketing	Advertisement cost/Sales value	High	Moderate	Low	Low sales
Operating cost	Manufacturing cost/sales	High	Moderate	Low	Low sales
R & D	R&D Cost/total cost	High	Moderate	Low	Low
Cash flows	Cash flows / Operating profit	Low	High	Moderate	Low
Business strategy	Total assets growth rate	High	High	Moderate	Low
Competition	HHI index (sales)	Low	High	Moderate	Low
Risk	Coefficient of variation of sales (3 years)	High	High	Moderate	High
Margins & Profit	Growth in profits	Low	High	Moderate	Low

SWOT Analysis

External Environment	Threats (T)	Confront	Avoid
	Opportunities (O)	Exploit	Search
		Strengths (S)	Weaknesses (W)
Internal Environment			

SWOT Analysis: Cyber Security

Variables	Measure	Strength	Weakness	Opportunity	Threat
Core costs	Manufacturing cost coeffi. Variation	Low	High		
Asset value	Total asset coeffi. Variation	Low	High		
Profits	Net profit coeffi. Variation	Low	High		
Revenue	sales coeffi. Variation	Low	High		
Finacial commitment	Debt equity ratio covariance	Low	High		
Business index	BCI			High	Low
Govt. policy	Tax rate change			Low	High
Consumer outlook	Consumer Confidence index			High	Low
BSE/NSE return	Industry index return			High	Low
Foreign /Domestic market	Duty/excise/customs rate change			Low	High
	GDP growth rate			Low	High

Impact of Internal Strategies

Weakness

- Industry may not be in the wish list of investors
- Lends may identify a industry with low growth prospects
- Poor financial resources

Strength

- Firms estimate cash flows for long duration
- Firms incorporate strategies to match cash inflows and outflows
- Resource Stability

Strategic planning of strengths to offset weakness

Internal Factors

	Weakness	Strength	Overall Impact
Ideal			
Strategy	No impact (low risk) Score: 0.5	Impact (Low risk) Score (0.5)	Stable: Score [1] (0.5/0.5)
Example	Poor financial resources	Resource stability	
Strategy	Impact (high risk) Score (1)	No impact (high risk) Score (1)	Optimize returns for risk: Score [1] (1/1)
Example	Low innovation (Maturity stage)	Innovation through collaboration with other industries	
Moderate			
	No impact (low risk) Score (0.5)	No impact (high risk) Score (1)	Conservative: Score [0.5] (0.5 / 1)
High Risk			
Strategy	Impact (high risk) Score (1)	Impact (low risk) Score (0.5)	Speculative: Score [2] (1/0.5)

External Factors

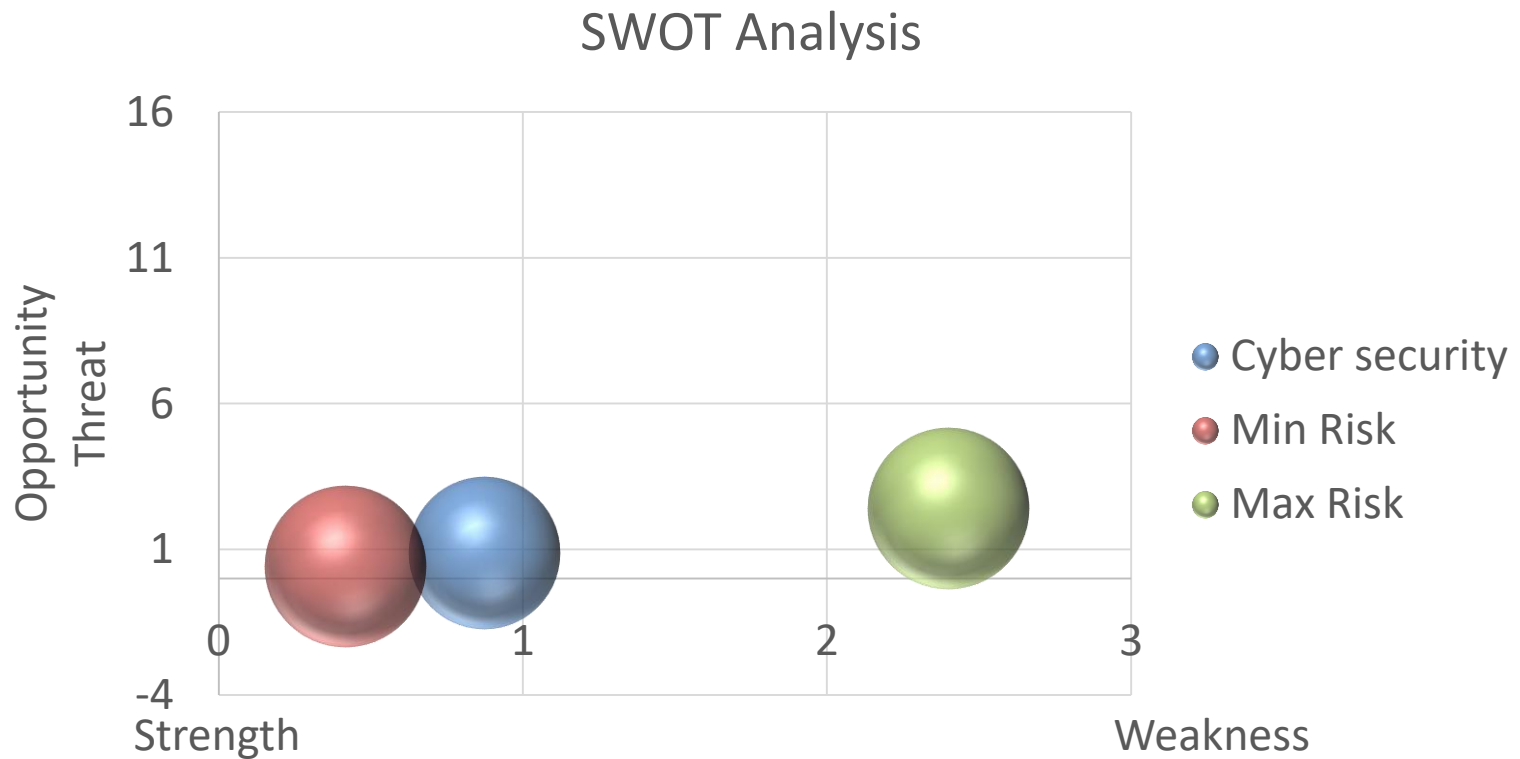
	Opportunity	Threat	Overall Score
Low Risk	Impact (low risk) Score (0.5)	No impact (low risk) Score (0.5)	Score [1] (0.5 + 0.5)
Moderate Risk	Impact (low risk) Score (0.5)	Impact (high risk) Score (1)	Score [1.5] (0.5 + 1)
	No impact (high risk) Score (1)	No impact (low risk) Score (0.5)	Score [1.5] (0.5 + 1)
High Risk	No impact (high risk) Score (1)	Impact (high risk) Score (1)	Score [2] (1 + 1)

SWOT: Impact (Risk) Evaluation (Textile Industry)

	Strength	Weakness	Opportunity	Threat
1	1	1.00	1	0.5
2	1	0.5	1	0.5
3	0.5	0.5	1	0.5
4	1	0.5	0.5	1
5	0.5	1	0.5	1
6	1	1.00	1	0.5

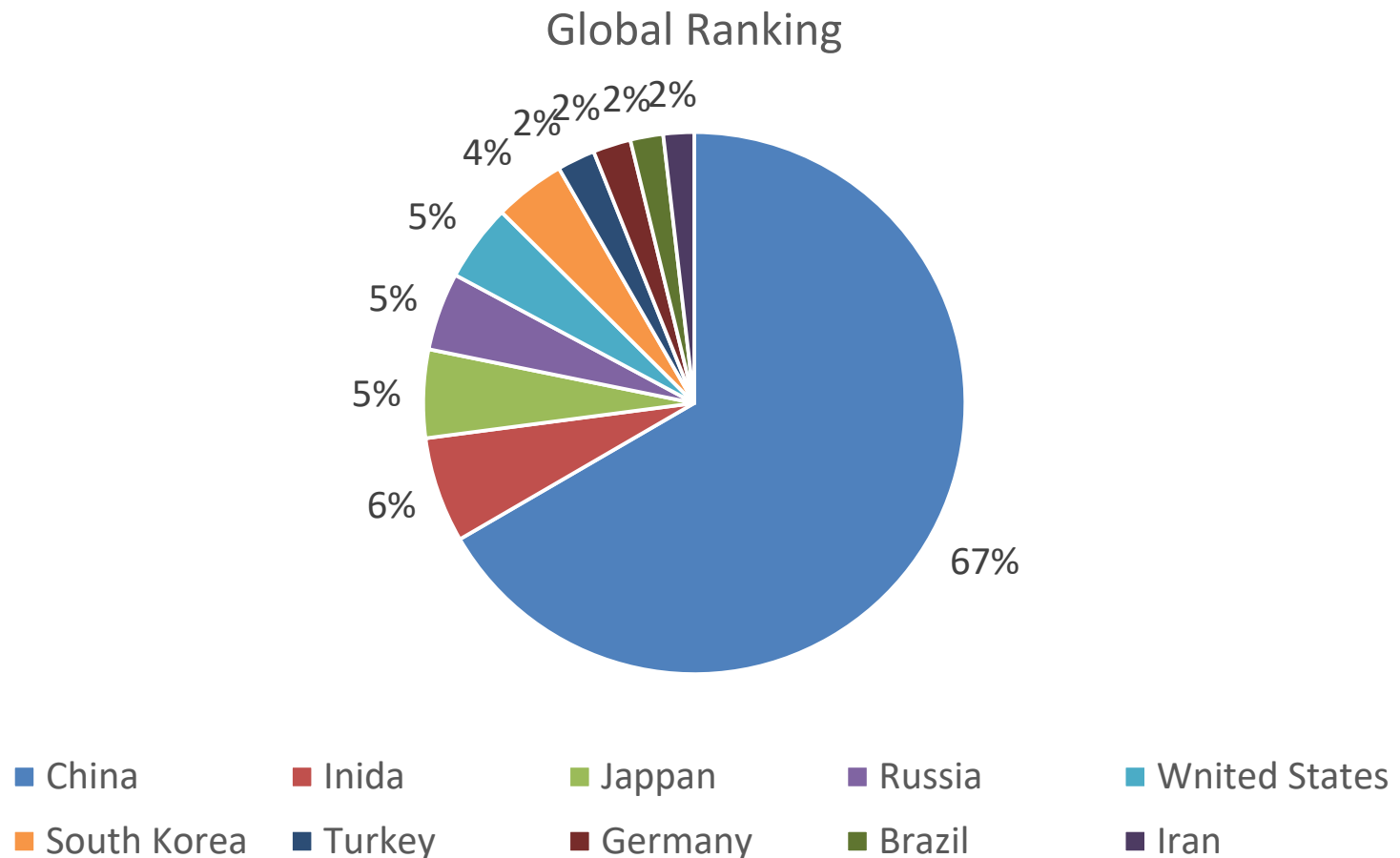
The key indicator for strength and opportunity (Impact) “I” is given a score of 0.5 and (Negative impact) “N” is given a score of 1. The reverse valuation is applied for weakness and threat; “I” is given 1 and “N” is given 0.5.

SWOT Analysis (Cyber Security)

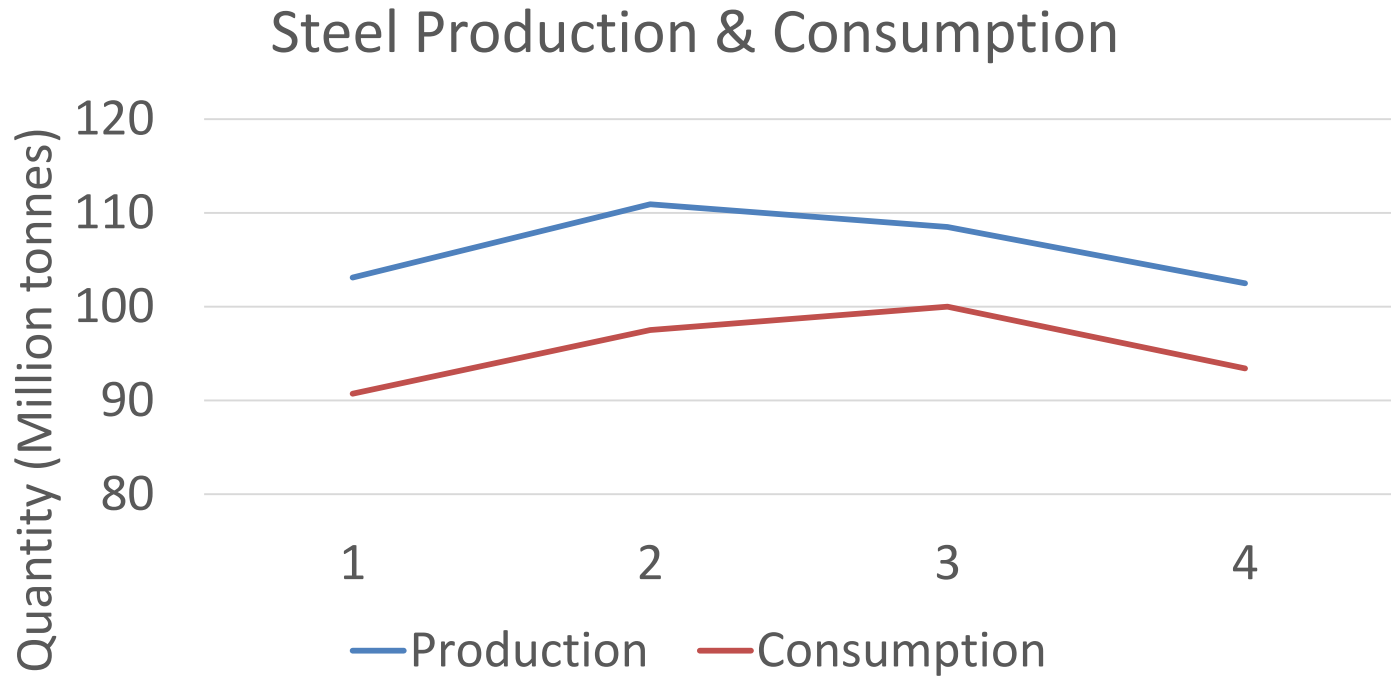


Case Analysis

- Global Steel Industry

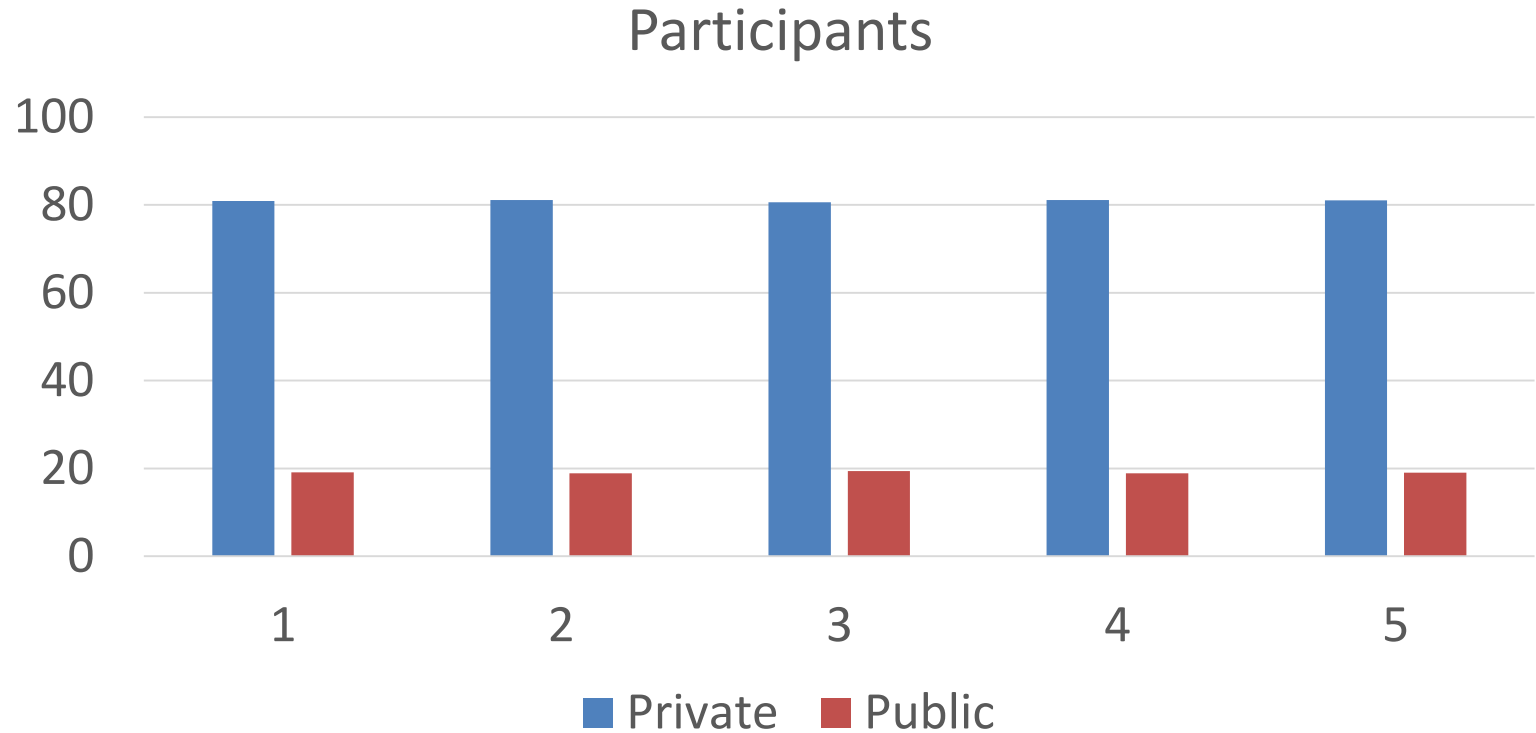


Demand and Supply



- Decline
- Projection of a decline is product demand and supply

Industry Competition



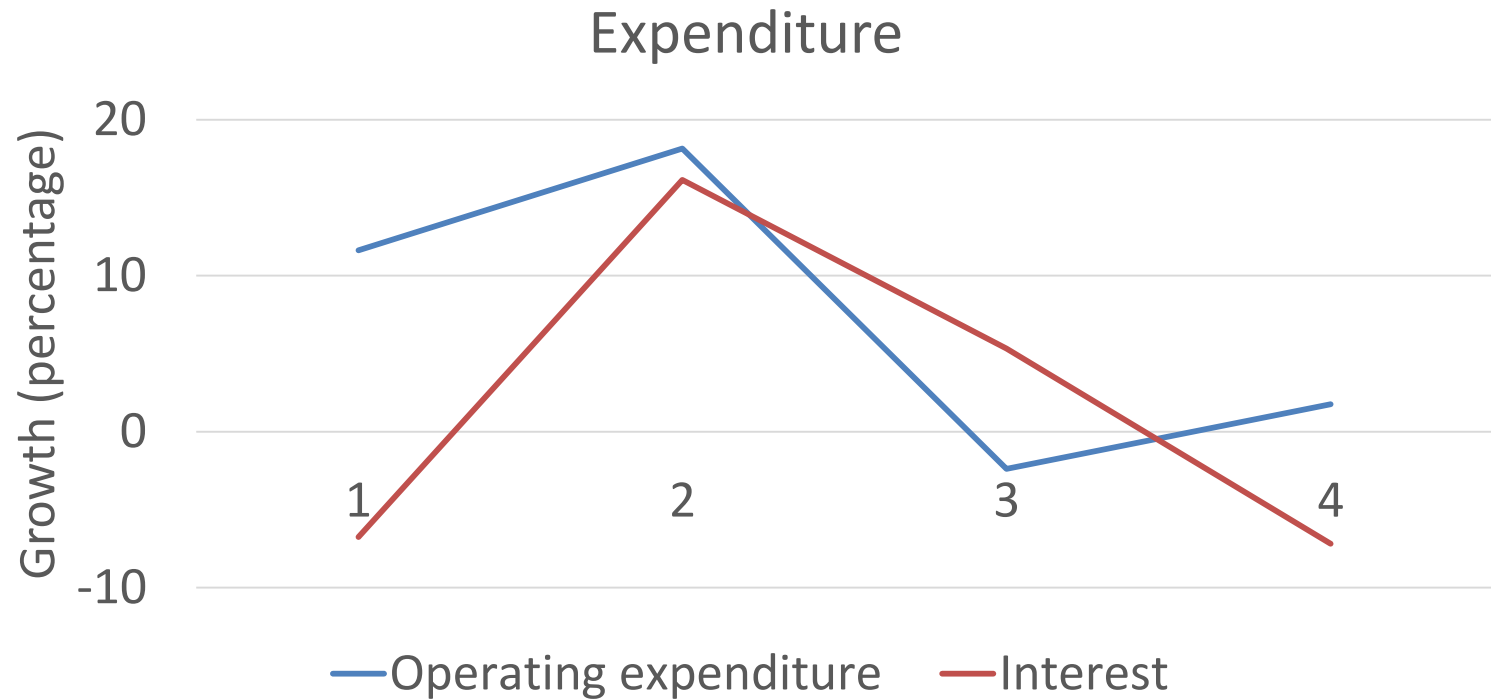
- Consistent

Revenue



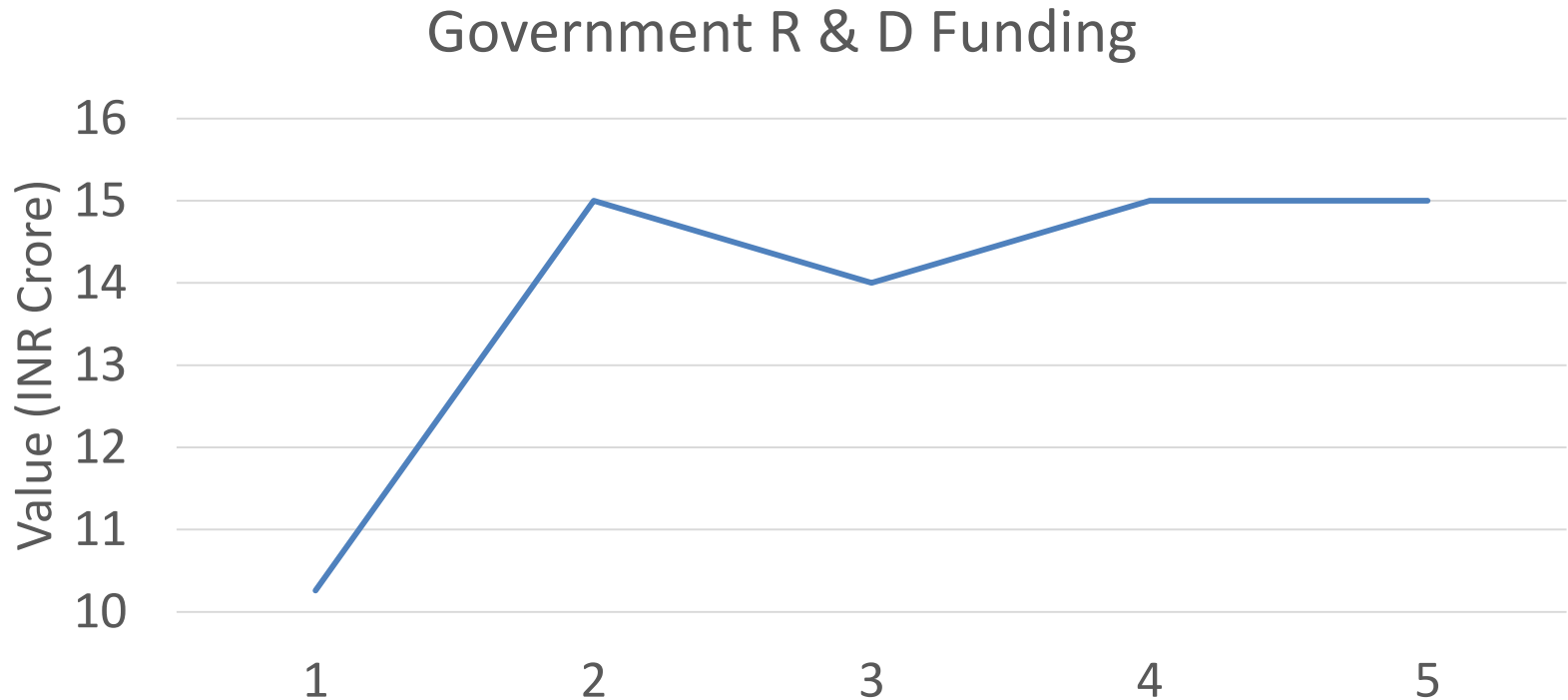
- Slow

Cost Structure



- Decline

Research & Development



- Constant support
- Stable

International Impact



- Stable

Overall Analysis

	Average	5-Year	Trend	Stage	Rating
Demand & Supply	(0.01%)/ 1%	(0.2%)/ 0.7%	Decline	Mature	3
Demographics	80%	NA	Stable	Stable	4
Profit	24%	85%	Revival	Growth	2
Revenue	9%	7%	Slow	Mature	3
Assets	7%	6%	Decline	Mature	3
Operating Cost	7%	5%	Decline	Mature	3
R & D	13%	7%	Stable	Stable	4
International	29%	15%	Stable	Stable	4
Average Rating				Consolidation	3.25

Rating Score: 1 : Early Growth 2: Growth 3: Consolidation 4 : Stability 5 : Decline